

Scoda Tubes Ltd.

Company Overview:

Scoda Tubes Ltd. is a stainless-steel tubes and pipes manufacturer based in India having over 14 years of experience. The company's products are broadly categorised into: (a) Seamless tubes/pipes and (b) Welded tubes and pipes, which are further classified under 5 product lines namely, (1) Stainless steel seamless pipes (2) Stainless steel seamless tubes (3) Stainless steel seamless "U" tubes (4) Stainless steel instrumentation tubes and (5) Stainless steel welded tubes and "U" tubes.

Key Highlights:

1. Backward Integrated manufacturing facility: The company operates a hot piercing mill for the production of Mother Hollow, which is the principal raw material for their Stainless-steel Seamless products. As of Dec'24, the company has an installed capacity of 20,000 MT/annum of Mother Hollow, 10,068 MT/annum for Seamless and 1,020 MT/annum for Welded products.

2. Strategically located manufacturing facility: The company operates a single manufacturing plant on the Ahmedabad-Mehsana Highway in Kadi, Gujarat, just 360 km from Mundra port and 23 km from the Inland Container Depot, ensuring excellent connectivity and reduced logistics costs.

3. Serving diverse industries with a global footprint: The company serves both domestic and international markets (Italy, Germany, Austria and Eastern European Markets) across 11 countries through 26 stockists (Dec'24), with exclusive partners in India and the U.S., catering to diverse industrial sectors (Oil & Gas, Chemicals, Fertilisers, Power, Pharmaceuticals, Automotive, Railways and Transportation).

4. Growth Drivers: (1) Capacity expansion of Seamless & Welded products from existing 10,068 MT/annum & 1,020 MT/annum to 20,068 MT/annum & 13,150 MT/annum, which are likely to be commissioned in 4QFY26. (2) The company owns land measuring 63,246 sq mt, of which 15,034 sq mt is utilised, while the balance 10,669 sq mt/30,064 sq mt is reserved for Seamless products and Welded products capacity expansion.

Key Risks: Top 10 customers contribute around 57.8%/47.8% as of 9MFY25 and FY24. High dependency on stockists for the sales & distribution of its products.

Valuation: The company is valued at 9MFY25 annualized P/E and EV/EBITDA multiple of 21.8x/9.6x at post-issue capital of upper price band respectively. The company's Revenue/EBITDA/PAT achieved CAGR of 44%/143%/235% to Rs 400 cr/Rs 59 cr/Rs 18 cr during FY22-FY24 period. The industry forecast indicates healthy growth for the Indian SS pipes and tubes which is projected to expand at a CAGR of 6% - 8% for the FY24-FY29E period. We recommend the investors to SUBSCRIBE the issue at cut-off price.

Particulars (Rs cr)	FY22	FY23	FY24	9MFY25	FY22-FY24 CAGR (%)
Revenue	194	305	400	361	44
YoY (%)	-	57.3	31.0	-	-
EBITDA	10	35	59	61	143
YoY (%)	-	248.2	69.0	-	-
PAT	2	10	18	25	234
YoY (%)	-	531.8	77.1	-	-
EBITDA (%)	5.1	11.4	14.7	16.8	-
PAT (%)	0.8	3.4	4.6	6.9	-
RoE (%)	4.7	22.8	28.8	-	-
RoCE (%)	5.8	12.6	15.9	-	-
D/E (x)	3.1	3.1	3.2	-	-
P/E (x)	512.7	81.1	45.8	-	-
EV/EBITDA (x)	77.2	22.1	13.1	-	-
CFO	(46.9)	20.3	2.3	5.4	-
CFI	(33.4)	(38.5)	(46.6)	(42.6)	-
FCF	(82.2)	(8.0)	(33.5)	(13.1)	-

Note: P/E (x) and EV/EBITDA (x) are based on post-issue share capital @ upper price band.

Issue Details	
Date of Opening	28 th May 2025
Date of Closing	30 th May 2025
Price Band (Rs)	130 - 140
Fresh Issue (Rs cr)	220
Issue Size (Rs cr)	220
Issue Size (No. of shares)	1,69,23,077 - 1,57,14,286
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	795 - 839
BRLMs	Monarch Network Capital Ltd.
Registrar	MUFG Intime India Private Ltd.
Bid Lot	100 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Capital expenditure towards expanding production capacity of seamless and welded tubes and pipes	77.0
Funding the part incremental working capital requirements of the Company	110.0
General corporate purposes*	-
Total proceeds from fresh issue	220.0

*To be finalised upon determination of the Issue Price and updated in the Prospectus at the time of filing with the RoC.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	3,97,94,700	90.0
Public & Others	44,00,000	10.0
Total	4,41,94,700	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	3,97,94,700	65.1
Public & Others	2,13,23,077	34.9
Total	6,11,17,777	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	3,97,94,700	66.4
Public & Others	2,01,14,286	33.6
Total	5,99,08,986	100.0

Source: RHP, SSL Research

Revenue Contribution

Domestic & Export share/Product share in revenue: As of 9MFY25, Domestic & Export contributed 72.0%/28.0%, while Seamless, Welded products and Others (Sales of Mother hollow & scraps) contributed 85.9%/0.6%/13.5% to the revenue from operations respectively.

Industry Overview

Global Demand of SS pipes & tubes: 3.7 million tonnes (MnT) by CY28E. (CY23-CY28E CAGR: 3% - 4%).

Demand in India for SS pipes & tubes: 4,50,000 tonnes by FY29E. (FY24-FY29E CAGR: 6% - 8%).

Peer Comparison

Particulars (Rs cr)	Scoda Tubes Ltd.	Ratnamani Metals & Tubes Ltd.	Venus Pipes & Tubes Ltd.	Welspun Speciality Solutions Ltd.	Suraj Ltd.
CMP (Rs)	140	2,877	1,452	33	391
Market Capitalisation	839	20,167	2,957	2,181	718
Revenue	482	5,186	959	724	234
EBITDA	81	824	168	31	28
PAT	33	542	93	(4)	12
EBITDA Margin (%)	16.8	15.9	17.5	4.3	12.0
PAT Margin (%)	6.9	10.5	9.7	-	5.1
RoE (%)	21.7	14.9	17.5	-	9.2
P/E (x)	21.8	37.2	31.8	-	59.9
EV/EBITDA (x)	9.6	24.4	18.5	68.7	27.9

The data is based on FY25 financial data

For Scoda Tubes Ltd, Financials are annualized based on 9MFY25 data.

For Scoda Tubes Ltd, the Market Cap, EV/EBITDA (x) and P/E (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 23rd May, 2025.

Source: RHP, SSL Research.

SBICAP Securities Limited

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